

Practical CPO & HR Budget Template

A free, practical worksheet for Chief People Officers and HR Leaders

Use this template to plan, justify, and track your annual or quarterly people budget. It is designed to connect spend with measurable business outcomes.

1) Budget Summary (One-Page)

- **Company:** _____
- **Period (Year/Quarter):** _____
- **Headcount (Start → End):** _____
- **Revenue Target:** _____
- **People Priorities (Top 3-5):**
 - 1. _____
 - 2. _____
 - 3. _____
 - 4. _____
 - 5. _____

Budget at a Glance

- **Total HR/CPO Budget:** € _____
- **Budget as % of Revenue:** _____ %
- **Budget per Employee:** € _____
- **Run-Rate (Fixed) Spend:** € _____
- **Strategic/Variable Spend:** € _____
- **Contingency Reserve (recommended 3-8%):** € _____

2) Core Budget Table

Category	Subcategory	Owner	Cost Driver	Unit	Unit Annual Priority	
					Qty Cost (€)	Cost (H/M/L) (€)
Talent Acquisition	Job boards, agency, referrals	TA Lead	Hiring plan	hires		
Compensation	Merit increases, market adjustments	CPO + Finance	Merit cycle	employees		
Benefits	Health, pension, wellness	HR Ops	Enrollment	employees		
				employees		

Category	Subcategory	Owner	Cost Driver	Unit	Unit Annual Priority		
					Qty	Cost (€)	Cost (H/M/L) (€)
Learning & Development	Training, coaching, LMS	L&D Lead	Learning plan				
HR Technology	HRIS, ATS, engagement tools	HR Ops + IT	License model	users			
Employee Experience	Engagement, recognition, events	People Partner	Program plan	events/employee			
DEI	Programs, diagnostics, training	DEI Lead	Program scope	programs			
Compliance & Legal	Audits, policies, legal support	HR + Legal	Regulatory scope	projects			
Workforce Planning	Org design, analytics	CPO	Planning cycles	cycles			
Contingency	Unplanned retention/hiring actions	CPO	Risk buffer	% total			

3) Assumptions Input Sheet

Complete these inputs before finalizing your budget:

- **Planned Hires:** _____
- **Average Cost per Hire (€):** _____
- **Target Attrition (%):** _____
- **Merit Increase Pool (%):** _____
- **Benefits Cost per Employee / Month (€):** _____
- **L&D Investment per Employee / Year (€):** _____
- **HR Tech Licenses (users × price):** _____ × € _____
- **Employer Brand / Events Budget (€):** _____
- **Inflation / Escalation Factor (%):** _____
- **Contingency (%):** _____

4) Scenario Planning (Recommended)

A) Base Case

- Hiring and programs as approved.

B) Lean Case

- Reduce non-critical hiring.
- Delay non-essential tools/programs.
- Protect compliance and retention-critical spend.

C) Growth Case

- Increased hiring velocity.
- Expanded onboarding and manager capability investment.
- Additional HRBP / People Ops support.

For each scenario, track: - **Total Cost (€)** - **Cost per Employee (€)** - **Expected KPI Impact** - **Top Risks**

5) KPI Mapping (Spend → Outcome)

For each major budget line, assign:

- **Leading KPI** (e.g., time-to-fill, training completion, manager enablement rate)
 - **Lagging KPI** (e.g., attrition, engagement, absenteeism, productivity)
 - **Target Value**
 - **Review Cadence** (monthly / quarterly)
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6) Governance & Review Rhythm

- **Monthly:** Spend vs plan, hiring progress, variance flags (>10%).
 - **Quarterly:** Reforecast and scenario update.
 - **Decision Rights:**
 - CPO reallocation authority up to € _____
 - CFO approval required above € _____
 - **Variance Playbook:** Pre-define stop/start/shift actions.
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7) Starter Allocation Benchmarks (Adjust to Context)

- **Talent Acquisition:** 15-30%
- **L&D:** 5-15%
- **HR Technology:** 8-20%
- **Employee Experience:** 5-12%
- **Compliance + Legal + DEI:** 8-18%
- **Contingency:** 3-8%

These are directional ranges, not universal standards. Calibrate based on company stage, geography, and operating model.

How to Use This Template

1. Start with assumptions.
2. Build your base case budget.
3. Create lean and growth scenarios.
4. Link each spend item to measurable KPIs.
5. Review monthly, reforecast quarterly.

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